EXECUTIVE SUMMARY

I. Introduction

The Municipality of Ballesteros was created on December 18, 1911 thru Executive Order No. 79 and was inaugurated on January 01, 1912. It was named after Father Gregorio Ballesteros, a Filipino priest. The Municipality of Ballesteros is committed to serve its constituents with the mission "to attain peace, unity and progress through effective and efficient local government operation and administration that will redound to the sustained delivery of basic services to the people.

A financial and compliance audit was conducted on the accounts and operations of the Municipal Government of Ballesteros for the year ended December 31, 2015. The audit consisted of the review of operating procedures, inspections of projects, interview of concerned officials and employees, verification, reconciliation and analysis of accounts and such other procedures considered necessary.

II. Financial Highlights

Presented below are the financial position and sources of funds, appropriations and obligations of the Municipality for the years 2015 and 2014:

a. The LGU's Assets, Liabilities and Government Equity is presented as follows:

	2015	2014	Increase (Decrease)
Assets	120,548,613.25	112,637,829.64	7,910,783.61
Liabilities	49,128,797.99	51,821,640.44	(2,692,842.45)
Government Equity	71,419,815.26	60,816,189.20	10,603,626.06
b. Income and Expenses			
Income	84,059,148.52	74,676,508.77	9,382,639.75
Expenses	61,411,536.91	55,899,357.51	5,512,179.40
c. Appropriations/Obligation			
Appropriations	86,985,857.00	85,490,996.61	1,494,860.39
Obligations	74,336,419.19	65,048,404.60	9,288,014.59

The Municipality's assets and equity increased by ₱7,910,783.61 and ₱10,603,626.06 respectively. Likewise, the liabilities decreased by ₱ 2,692,842.45 during the year.

Total income amounted to ₱ 84,059,148.52 for the year which is higher than last year's total income by ₱ 9,382,639.75. A total amount of ₱ 86,985,857.00 was appropriated during the year of which ₱ 74,336,419.19 was obligated.

III. Auditor's Opinion on the Financial Statements

We rendered a qualified opinion on the fairness of the presentation of the Financial Statements since the physical existence and condition of the Property, Plant and Equipment, as well as the correctness and validity of the account valued at ₱34,466,744.32 (net of depreciation) could not be ascertained due to the failure of the LGU officials concerned to conduct physical inventory of all properties and absence of property and equipment ledger cards maintained.

IV. Significant Findings and Recommendations

The findings and recommendations were discussed with LGU officials and management comments were incorporated in the report, where appropriate. The most significant findings and recommendations are as follows:

1. **Collections were not deposited intact and regularly with the authorized depository bank resulting to Cash in Local Treasury balance of ₱623,417.58 contrary to Section 28 of COA Circular No. 92-382 dated July 3, 1992 and Section 32 of COA Circular 2002-003 dated June 20, 2002.**

   We recommended that the Municipal Treasurer deposit intact all her collections, as well as collections turned over to her by the collectors, with authorized depository bank daily or not later than the next banking day and strictly comply with the provisions of COA Circular No. 92-382 dated July 3, 1992 and COA Circular 2002-003 dated June 20, 2002 and Section 30 of the NGAS for LGUs (Volume I).

2. **The Municipal Accountant did not prepare bank reconciliation statements during the year, thereby affecting the reliability and accuracy of the amount presented as Cash in Bank-Local Currency-Current Account as of year-end.**

   We recommended that the reconciliation of the cash in bank account should be made pursuant to Section 3.2 of COA Circular No. 96-011 dated October 2, 1996 to establish accurate balances of all bank accounts. In addition, the Municipal Accountant should maintain subsidiary ledger for each bank account for easy preparation of the monthly bank reconciliation statement. Lastly, bank reconciliation statement should be prepared per bank account number.

3. **Unutilized balance of Disbursement Acceleration Program (DAP) Fund received by the municipality for calendar years 2011 and 2013 amounting to ₱2,000,000.00 were not returned to the Bureau of the Treasury, contrary to Supreme Court Decision G.R. No. 209287 dated July 1, 2014.**

   We recommended that management strictly comply with the Supreme Court decision on the reversion/remittance of the unexpended balance of DAP funds to the National Treasury.

4. **Unexpended balance of Priority Development Assistance Fund (PDAF) received by the municipality for calendar year 2012 amounting to ₱ 115,409.36 was not reverted to the unappropriated surplus of the General Fund, contrary to Supreme Court Decision G.R. No. 209251 dated November 19, 2013 National Budget Circular No. 476-01 dated September 20, 2001.**

We recommended that management strictly comply with the Supreme Court decision and National Budget Circular No. 476-01 dated September 20, 2001 on the reversion of the unexpended balance to the unappropriated surplus of the general fund.

5. **The Municipality has no Solid Waste Management Plan duly approved by the National Solid Waste Management Commission in Violation of Section 16 of Republic Act No. 9003. Thus, it deprived its constituents of the benefit of a systematic, comprehensive and ecological solid waste management program on better protection of public health and environment.**

We recommended that the Solid Waste Management Plan be duly approved by the National Solid Waste Management Commission to ensure that the programs and activities included in such plan are consistent with the National Solid Waste Management Framework and to ensure that the municipality adopted a systematic, comprehensive, and ecological waste management program.

6. **The amount of ₱ 7, 026,897.60 or 43 % of the ₱ 16,391,749.89 appropriated for 20% development projects was not utilized. In addition Continuing Appropriation from 20% Development Fund totaling to ₱ 1,357,419.26 were not implemented at year end thus, the programmed funds was not optimally utilized to achieve socio economic and development and environmental outcomes in the municipality as provided under DILG-DBM Joint Memorandum Circular No. 2011-1 dated April 13, 2011.**

We recommended management to implement projects as planned and address the causes of the delay in the implementation of the development projects in order to maximize the utilization of the funds as intended and ultimately achieve desirable socio-economic development and environmental outcomes in the municipality.

7. **Representation Allowance and Transportation Allowance (RATA) totaling to ₱340,312.50 were paid to members of the Sangguniang Bayan (SB) who failed to attend weekly sessions contrary to Department of Budget and Management (DBM) Local Budget Circular (LBC) No. 103 and Section 52 of Republic Act No. 7160 and, thereby rendering the expenditures irregular.**

We recommended to management the following:

1. Require the members of the SB to fully refund the amount of overpayment of P340,312.50 that was not deducted from their RATA due to absences and non conduct of the required four sessions in a month;

2. Instruct the Municipal accounting Office to deduct from the RATA claims of the SB members pro-rated amounts based on actual work/attendance in regular sessions;
3. Support claims for RATA with SB minutes of meetings and certification of attendance from the SB secretary;
4. Require the SB members to accomplish application for leave for recording in leave cards; and
5. Strictly comply with the requirements of Section 52 of RA. No. 7160 on the conduct of at least one regular session a week.

8. The hiring of job order employees was not based on actual service needed per existing organizational structure and staffing pattern but on the availability of funds.

We recommended management to assess its existing organizational structure so that the ideal number of plantilla personnel will be established, thereby, avoiding the hiring of excessive number of job order employees. We further recommended that the hiring of job order personnel should be based on necessity in order to avoid waste of funds.

9. Audit suspensions and disallowances amounting to ₱116,827.68 and ₱474,835.27, respectively remained unsettled contrary to COA Circular No. 2009-006 dated September 15, 2009.

We recommended that the requirements of the transactions suspended in audit must be complied within the ninety-day period to avoid maturity of disallowance. We also recommend that management employ all possible means provided by law for the settlement of disallowances. In addition, settlement of audit disallowances that become final and executory should be strictly enforced by withholding the salaries and other compensation due to the persons liable who are still employed with the government**.**

V. Summary of Total Suspensions, Disallowances and Charges as of Year-End

	2015	2014	Increase (Decrease)
Suspensions	116,827.68	116,827.68	-
Disallowances	474,835.27	474,835.27	-
Charges	-	-	-
Total	591,662.95	591,662.95	-

VI. Status of Implementation of Prior Year's Audit Recommendations

Out of the ten (10) recommendations embodied in the previous Annual Audit Report, two (2) were fully implemented, five (5) were partially implemented and the remaining three (3) were not implemented.